

STOCKINVEST SECURITIES (PRIVATE) LIMITED

Financial Statements

For the year ended
June 30, 2024



Parker Russell-A. J. S.
CHARTERED ACCOUNTANTS

**Independent Auditors' Report to the Members of Stocxinvest Securities (Private) Limited
Report on the Audit of the Financial Statements**

Opinion

We have audited the annexed financial statements of **Stocxinvest Securities (Private) Limited** (the Company), which comprise the statement of financial position as at June 30, 2024, and the statement of profit or loss, the statement of other comprehensive income, the statement of changes in equity, the statement of cash flows for the year then ended, and notes to the financial statements, including a summary of material accounting policies and other explanatory information, and we state that we have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of the audit.

In our opinion and to the best of our information and according to the explanations given to us, the statement of financial position, statement of profit or loss, statement of other comprehensive income, the statement of changes in equity and the statement of cash flows together with the notes forming part thereof conform with the accounting and reporting standards as applicable in Pakistan and give the information required by the Companies Act, 2017 (XIX of 2017), in the manner so required and respectively give a true and fair view of the state of the Company's affairs as at June 30, 2024 and of the profit and other comprehensive income, the changes in equity and its cash flows for the year then ended.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs) as applicable in Pakistan. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' *Code of Ethics for Professional Accountants* as adopted by the Institute of Chartered Accountants of Pakistan (the Code)^{IV} and we have fulfilled our other ethical responsibilities in accordance with the Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Information Other than the Financial Statements and Auditor's Report Thereon

The management is responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the financial statements and our auditors' report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. We have nothing to report in this regard.



Responsibilities of Management and Board of Directors for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with the accounting and reporting standards as applicable in Pakistan and the requirements of Companies Act, 2017 (XIX of 2017) and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so. Board of directors is responsible for overseeing the Company's financial reporting process.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs as applicable in Pakistan will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs as applicable in Pakistan, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.

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Parker Russell-A. J. S.

CHARTERED ACCOUNTANTS

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the board of directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on Other Legal and Regulatory Requirements

Based on our audit, we further report that in our opinion:

- a) proper books of account have been kept by the Company as required by the Companies Act, 2017 (XIX of 2017);
- b) the statement of financial position, the statement of profit or loss, the statement of other comprehensive income, the statement of changes in equity and the statement of cash flows together with the notes thereon have been drawn up in conformity with the Companies Act, 2017 (XIX of 2017) and are in agreement with the books of account and returns;
- c) investment made, expenditure incurred and guarantees extended during the year were for the purpose of the Company's business;
- d) the Company was in compliance with the requirements of section 78 of the Securities Act, 2015 and section 62 of the Future Market Act, 2016 and the relevant requirements of Securities Brokers (Licensing and Operations) Regulations, 2016 as at the date on which the statement of financial position was prepared. and
- e) no zakat was deductible at source under the Zakat and Ushr Ordinance, 1980 (XVIII of 1980).

The engagement partner on the audit resulting in independent auditor's report is Muhammad Shabbir Kasbati.

(Chartered Accountants)

Date: October 7, 2024

Karachi.

UDIN: AR202410192iNv8kSwHJ

Stocinvest Securities (Private) Limited
Statement of Financial Position
As at June 30, 2024

		June 30, 2024	June 30, 2023
		-----Rupees-----	
Assets	Note		
Non-current assets			
Property, plant & equipment	5	1,610,179	1,831,486
Intangible assets	6	2,500,000	2,500,000
		<u>4,110,179</u>	<u>4,331,486</u>
Current assets			
Trade debt	7	3,740,358	1,720,428
Advance, deposits and prepayments	8	35,329,373	15,577,576
Short term investments - At fair value through profit or loss	9	19,194,010	7,398,875
Cash & bank balance	10	734,555	179,900
		<u>58,998,296</u>	<u>24,876,780</u>
Total assets		<u><u>63,108,475</u></u>	<u><u>29,208,266</u></u>
Equity and liabilities			
Share capital and reserves			
Authorized share capital		25,000,000	25,000,000
Issued, subscribed and paid-up share capital	11	18,000,000	18,000,000
Accumulated profit/(loss)		28,024,544	(1,226,346)
Advance against share capital	12	4,000,000	4,000,000
		<u>50,024,544</u>	<u>20,773,654</u>
Sponsors' loan	13	8,000,000	8,000,000
		<u>58,024,544</u>	<u>28,773,654</u>
Current liabilities			
Taxation- net		4,415,715	146,473
Trade and other payables	14	668,216	288,138
		<u>5,083,931</u>	<u>434,611</u>
Contingencies & commitments	15		
Total equity and liabilities		<u><u>63,108,475</u></u>	<u><u>29,208,265</u></u>

The annexed notes from 1 to 26 form an integral part of these financial statements.




Chief Executive Officer


Director

Stocxinvest Securities (Private) Limited
Statement of Profit or Loss
For the year ended June 30, 2024

	Note	For the year ended June 30, 2024	From Dec 16, 2022 to June 30, 2023
		-----Rupees-----	
Operating revenue	16	37,693,674	3,059,106
Capital gain / (loss) on sale of listed securities		9,908,277	1,005,942
Gain / (loss) on remeasurement of investments at fair value through profit or loss		6,901,795	(6,343)
Profit on bank accounts / deposits		1,045,387	33,702
		<u>55,549,133</u>	<u>4,092,407</u>
Operating expense	17	(25,295,922)	(5,254,022)
Other income	18	3,647,537	-
Profit / (loss) before taxation and levy		<u>33,900,748</u>	<u>(1,161,615)</u>
Levy	19	(585,791)	(64,731)
Profit / (loss) before taxation		<u>33,314,957</u>	<u>(1,226,346)</u>
Taxation	19	(4,064,067)	-
Profit/ (loss) after taxation		<u>29,250,890</u>	<u>(1,226,346)</u>
Earning / (loss) per share - basic and diluted	20	<u>16.25</u>	<u>(0.65)</u>

The annexed notes from 1 to 26 form an integral part of these financial statements.

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Chief Executive Officer

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Director

Stocxinvest Securities (Private) Limited
Statement of Other Comprehensive Income
For the year ended June 30, 2024

	For the year ended June 30, 2024	From Dec 16, 2022 to June 30, 2023
	-----Rupees-----	
Profit / (loss) for the year	29,250,890	(1,226,346)
Items that will not be reclassified subsequently to profit or loss	-	-
Items that may be reclassified subsequently to profit or loss	-	-
Other comprehensive income for the year	-	-
Total comprehensive income/ (loss) for the year	<u>29,250,890</u>	<u>(1,226,346)</u>

The annexed notes from 1 to 26 form an integral part of these financial statements.


Chief Executive Officer


Director

Stocxinvest Securities (Private) Limited
Statement of Changes in Equity
For the year ended June 30, 2024

	Issued subscribed and paid-up share capital	Advance against future issuance of share capital	Accumulated profit /(loss)	Total
Balance as at December 16, 2022	-	-	-	-
Proceeds from issuance of shares	18,000,000	-	-	18,000,000
Advance against future issuance of share capital	-	4,000,000	-	4,000,000
Profit after taxation	-	-	(1,226,346)	(1,226,346)
Other comprehensive income	-	-	-	-
Total comprehensive income	-	-	(1,226,346)	(1,226,346)
Balance as at June 30, 2023	18,000,000	4,000,000	(1,226,346)	20,773,654
Profit after taxation	-	-	29,250,890	29,250,890
Other comprehensive income	-	-	-	-
Total comprehensive income	-	-	29,250,890	29,250,890
Balance as at June 30, 2024	18,000,000	4,000,000	28,024,544	50,024,544

The annexed notes from 1 to 26 form an integral part of these financial statements.

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Chief Executive Officer

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Director

Stocinvest Securities (Private) Limited
Statement of Cash Flows
For the year ended June 30, 2024

	For the year ended June 30, 2024	From Dec 16, 2022 to June 30, 2023
	-----Rupees-----	
Cash flow from operating activities		
Profit / (loss) before taxation	33,900,748	(1,161,615)
Adjustments for non-cash items:		
Depreciation	260,707	84,714
Gain / (loss) on remeasurement of investments at fair value	-	6,343
	260,707	91,057
Operating profit before working capital changes	34,161,455	(1,070,558)
Changes in working capital		
(Increase) in current assets		
Trade debt	(2,019,930)	(1,720,428)
Advance, deposits and prepayments	(19,751,797)	(15,577,576)
Increase in current liabilities		
Trade and other payables	380,078	288,138
Cash used in operations	(21,391,649)	(17,009,866)
Taxes paid	(380,616)	81,742
Net cash used in operating activities	12,389,190	(17,998,682)
Cash flow from investing activities		
Short term investments - At fair value through profit or loss	(11,795,135)	(7,405,218)
Addition in fixed assets	(39,400)	(1,916,200)
Addition in intangibles	-	(2,500,000)
Net cash used in investing activities	(11,834,535)	(11,821,418)
Cash flow from financing activities		
Proceeds from issuance of share capital	-	18,000,000
Proceeds from advance against share capital	-	4,000,000
Sponsors' loan	-	8,000,000
Net cash generated from financing activities	-	30,000,000
Net increase in cash & cash equivalents during the period	554,655	179,900
Cash & cash equivalents at the beginning of the period	179,900	-
Cash & cash equivalents at the end of the period	734,555	179,900

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The annexed notes from 1 to 26 form an integral part of these financial statements.


Chief Executive Officer


Director

Stocxinvest Securities (Private) Limited
Notes to the Financial Statements
For the period year ended June 30, 2024

1 THE COMPANY AND ITS OPERATIONS

Stocxinvest Securities (Private) Limited ("the Company") was incorporated in Pakistan on December 16, 2023 as a private limited company under the Companies Act, 2017.

The Company is holder of trading right entitlement certificate (TREC) of Pakistan Stock Exchange Limited (PSX). The principal activity of the Company is to carry on the business of brokerage, underwriting, consultancy and investments.

The registered office of the Company is situated at office No. 111, Sumya Business Avenue, Muhammad Ali Housing Society, Karachi.

2 BASIS OF PREPARATION

2.1 STATEMENT OF COMPLIANCE

These financial statements have been prepared in accordance with the accounting and reporting standards as applicable in Pakistan. The accounting and reporting standards applicable in Pakistan comprise of International Financial Reporting Standard for Small and Medium Sized Entities (IFRS for SMEs) issued by the International Accounting Standards Board (IASB) as notified under the Companies Act, 2017; and Provisions of and directives issued under the Companies Act, 2017.

Where provisions of and directives issued under the Companies Act, 2017 differ from the IFRS for SMEs, the provisions of and directives issued under the Companies Act, 2017 have been followed.

2.2 Basis of measurement

These financial statements have been prepared under the historical cost convention, except for short-term investments which are carried at fair value through profit or loss. These financial statements are prepared following accrual basis of accounting except for cash flow information.

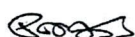
2.3 Functional and presentation currency

Items included in these financial statements of the Company are measured using the currency of the primary economic environment in which the Company operates (the functional currency). These financial statements are presented in Pakistani Rupee, which is the Company's functional and presentation currency.

2.4 Significant accounting estimates and judgments

The preparation of these financial statements in conformity with the applicable accounting and reporting standards requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Company's accounting policies. Estimates and judgments are continually evaluated and are based on historic experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Revision to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

In the process of applying the Company's accounting policies, management has made the following estimates and judgments which are significant to these financial statements:



	Note
Determining the residual values and useful life of fixed assets & intangible assets	4.1 & 4.2
Provision for doubtful debts and other receivables	4.3, 4.12 & 4.14
Recognition of tax and deferred tax	4.4
Provisions and contingent liabilities	4.7 & 4.8

3 CHANGES IN ACCOUNTING STANDARDS, INTERPRETATIONS AND AMENDMENTS TO ACCOUNTING AND REPORTING STANDARDS

a) Amendments to accounting and reporting standards and interpretation / guidance which became effective during the year ended June 30, 2024

There were certain amendments that became applicable for the Company during the year but are not considered to be relevant or did not have any significant effect on the Company's operations and have, therefore, not been disclosed in these financial statements except that during the year certain amendments to IAS 1 'Presentation of Financial Statements' have become applicable to the Company which require entities to disclose their material accounting policy information rather than their significant accounting policies. These amendments to IAS have been introduced to help entities improve accounting policy disclosures so that they provide more useful information to investors and other primary users of the financial statements. These amendments have been incorporated in these financial statements with the primary impact that the material accounting policy information has been disclosed rather than the significant accounting policies.

During the year, the Institute of Chartered Accountants of Pakistan (ICAP) has withdrawn Technical Release 27 'IAS 12, Income Taxes (Revised 2012)' and issued the 'IAS 12 Application Guidance on Accounting for Minimum Taxes and Final Taxes' (the Guidance). Accordingly, in accordance with the Guidance, the Company has changed its accounting policy to recognise minimum and final taxes as 'Levy' under IAS 37 "Provisions, Contingent Liabilities and Contingent Assets" which were previously being recognised as 'Income tax'.

The Company has accounted for the effects of these changes in accounting policy retrospectively under IAS 8 "Accounting Policies, Changes in Accounting Estimates and Errors" and the corresponding figures have been restated in these unconsolidated financial statements. The effects of restatements are as follows:

Had there been no change in accounting (PKR '000)	Impact of change in accounting policy (PKR '000)	After incorporating effects of change in (PKR '000)
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Effect on unconsolidated statement of profit or loss

For the year ended June 30, 2024

Taxation - minimum taxes	-	(585,791)	(585,791)
Profit before tax	33,900,748	(585,791)	33,314,957
Taxation	(4,649,858)	585,791	(4,064,067)
Profit after tax	29,250,890	-	29,250,890

For the year ended June 30, 2023

Taxation - minimum taxes	-	(64,731)	(64,731)
Loss before taxation	(1,161,615)	(64,731)	(1,226,346)
Taxation	-	64,731	64,731
Loss after tax	(1,161,615)	-	(1,161,615)

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The related changes to the statement of cash flows with respect to the amount of profit before taxation have been made as well. There is no impact on profit after tax and earnings per share, basic and diluted.

b) New standards and amendments to published accounting and reporting standards that are not yet effective and not early adopted by the Company

There are certain new standards and amendments that will be applicable to the Company for its annual periods beginning on or after July 1, 2024. The new standards include IFRS 18 Presentation and Disclosure in Financial Statements and IFRS 19 Subsidiaries without Public Accountability: Disclosures both with applicability date of January 1, 2027 as per IASB. These standards will become part of the Company's financial reporting framework upon adoption by the SECP. The overall amendments include those made to IFRS 7 and IFRS 9 which clarify the date of recognition and derecognition of a financial asset or financial liability which are applicable effective January 1, 2026. The Company's management at present is in the process of assessing the full impacts of these new standards and the amendments to IFRS 7 and IFRS 9 and is expecting to complete the assessment in due course.

4. MATERIAL ACCOUNTING POLICY INFORMATION

The material accounting policies are consistently applied in the preparation of these financial statements are the same as those applied in the earlier periods presented in these financial statements.

4.1 Property and equipment

All items of fixed assets are measured at revalued amounts, which is the fair value at the date of revaluation less accumulated depreciation and accumulated impairment losses, if any.

Maintenance and normal repairs are charged to profit or loss account as and when incurred. Major renewals and improvements are capitalized.

Assets useful lives and residual values that are significant in relation to the total cost of the assets are reviewed, and adjusted if appropriate on a prospective basis, at each balance sheet date.

Depreciation is charged by applying the straight line method after taking into account residual value, if any, whereby the depreciable amount of the assets is written off over its estimated useful life at the rates mentioned in the note 5 to these financial statements. Depreciation is charged from the month the asset is available for use and up to the month, preceding the disposal.

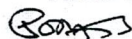
The gain or loss arising on disposal or retirement of an item of property and equipment is determined as the difference between the sales proceeds and the carrying amounts of the asset and the relevant remaining revaluation surplus is reclassified directly to unappropriated profit.

4.2 Intangible asset – Trading rights entitlement certificates (TREC)

TREC is stated at an allocated carrying value out of previously recognized intangible asset (Membership Card) that was presented under revaluation model. Allocation of carrying value has been made as the residual balance of previously recognized intangible asset after deducting the ordinary share of LSE Financial Services Limited (Formerly Lahore Stock Exchange Limited) at their face value.

4.3 Trade debts

These are recognised and carried at original invoice amount and subsequently measured at amortised cost using EIR methodology. Loss allowance is made on the basis of lifetime ECLs that result from all possible default events over the expected life of the trade debts and other receivables. Bad debts are written-off when identified.



4.4 Taxation, final and minimum tax

Final and minimum tax

Computation of minimum tax chargeable under various sections of ITO 2001, provisions of such sections require its comparison with amount of tax attributable to income streams taxable at general rate of taxation, such minimum taxes are not fully outside the scope of IAS-12 and a certain portion of them falls in scope of IAS - 12. Based on this, the minimum taxes under ITO 2001 are hybrid taxes which comprise of a component within the scope of IAS - 12 and a component within the scope of IFRIC - 21 / IAS - 37.

As regards final taxes, its computation is based on revenue or other bases other than taxable income, therefore, final taxes fall under levy within the scope of IFRIC – 21 / IAS – 37, hence treated and classified accordingly, as per the requirements of / and guidelines issued by ICAP.

In identifying and classifying each component of minimum tax being hybrid in nature, company designate the amount calculated on taxable income using the notified tax rate as an income tax within the scope of IAS – 12 “Income taxes” and recognize it as current income tax expense. Any excess over the amount designed as income tax, is recognized as a levy falling under the scope of IFRIC – 21 / IAS – 37.

Taxation

Income tax expense is recognized in the statement of profit or loss except to the extent that it relates to items recognized in other comprehensive income or directly in equity (if any), in which case the tax amounts are recognized directly in other comprehensive income or equity.

Current

Provision for current taxation is based on taxable income at the current rates of taxation after taking into account available tax credits and rebates, if any, and any under / over provisions in respect of prior years.

It is also based on the application of provisions of law that may be imposed and changed from time to time.

Deferred

Deferred tax is calculated using the liability method on all temporary differences at the balance sheet date, between the tax base of the assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognized for all taxable temporary differences. Deferred tax assets are recognized for all deductible temporary differences, un-absorbed tax losses to the extent that it is probable that the deductible temporary differences will reverse in the foreseeable future and significant taxable income will be available against which the deductible temporary differences or un-absorbed tax losses can be utilized. The carrying amount of all deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the deferred tax assets to be utilized.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the period when the asset is realized or the liability is settled, based on the tax rates (and tax laws) that have been enacted or substantively enacted at the balance sheet date.

Deferred tax is charged or credited in the profit and loss account, except where deferred tax arises on the items credited or charged directly to the equity, in which case it is included in equity.

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4.5 Cash and cash equivalents

Cash and cash equivalents are carried in the balance sheet at cost. For the purposes of the cash flow statement, cash equivalents comprise cash in hand, cash at banks and other short term highly liquid instruments that are readily convertible into known amounts of cash and which are subject to insignificant risk of changes in values.

4.6 Trade and other payables

Trade payables are obligations under normal short-term credit terms. Liabilities for trade and other amounts payable are carried at cost which is the fair value of the consideration to be paid in future for goods and services received, whether or not billed to the Company. These are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities.

4.7 Provisions

Provisions are recognized when the Company has a legal or constructive obligation as a result of past events and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligations and a reliable estimate of the amount can be made. Provisions are reviewed at each reporting date and are adjusted to reflect the current best estimate.

4.8 Contingent liabilities

A contingent liability is disclosed when the Company has a possible obligation as a result of past events, the existence of which will be confirmed only by the occurrence or non-occurrence, of one or more uncertain future events, not wholly within the control of the Company; or when the Company has a present legal or constructive obligation, that arises from past events, but it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation, or the amount of the obligation cannot be measured with sufficient reliability.

4.9 Revenue recognition

The Company recognise revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the Company expects to be entitled in exchange for those goods or services. Company's accounting policies with respect to its revenue recognition are as follows:

- a) Brokerage commission is recognised on trade date.
- b) Dividend income is recorded when the right to receive the dividend is established.
- c) Gain / (loss) arising on sale of investments are included in the statement of profit or loss in the period in which they arise.
- d) Unrealised capital gain / (loss) arising from remeasurement of investments classified as FVTPL are included in the statement of profit or loss for the period in which they arise.

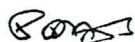
4.10 Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

4.10.1 Initial measurement of financial assets

The Company classifies its financial assets into following three categories:

- a) Fair value through other comprehensive income (FVTOCI);
- b) Fair value through profit or loss (FVTPL); or
- c) At amortised cost.



The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Company's business model for managing them. The Company initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs. Except for trade receivables which are measured at the transaction price determined under IFRS 15.

Financial assets are classified and measured at fair value through other comprehensive income (FVTOCI) or amortised cost, if both of the following conditions are met:

- a) The financial asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling the financial asset and; (Business Model test).
- b) The contractual terms of the financial asset give rise on specified dates to cash flows that are Solely Payments of Principle and Interest thereon. (SPPI test).

All purchase and sales of financial assets are recognised on settlement date.

4.10.2 Subsequent measurement

a) Financial assets at amortised cost

The Company measures its financial assets at amortised cost if business model test & SPPI test is passed. These assets are subsequently measured at amortised cost using effective interest rate (EIR) method and are subject to impairment as at each reporting date. Gains / losses are recognised in the statement of profit or loss when the asset is derecognised / retired / modified.

b) Financial assets at fair value through other comprehensive income (FVTOCI) (Equity instruments).

Upon initial recognition, an entity may make an irrevocable election to classify its equity investments at FVTOCI that are not held for trading purpose. Subsequent changes in the fair value of an equity investment are presented in other comprehensive income which are never reclassified to the statement of profit or loss. Dividends are recognised as other income in the statement of profit or loss when the right of payment has been established, except when the Company benefits from such proceeds as a recovery of part of the cost of the financial asset, in which case, such gains are recorded in OCI.

Equity instruments designated at fair value through OCI are not subject to impairment

c) Financial asset at fair value through profit or loss (FVTPL)

Financial assets at fair value through profit or loss include financial assets held for trading, financial assets designated upon initial recognition at fair value through profit or loss, or financial assets mandatorily required to be measured at fair value. Financial assets are classified as FVTPL if they are acquired for the purpose of selling or repurchasing in the near term. Financial assets with cash flows that are not solely payments of principal and interest are classified and measured at fair value through profit or loss, irrespective of the business model. Notwithstanding the criteria for debt instruments to be classified at amortised cost or at fair value through OCI, as described above, debt instruments may be designated at fair value through profit or loss on initial recognition if doing so eliminates, or significantly reduces, an accounting mismatch. Financial assets at fair value through profit or loss are carried in the statement of financial position at fair value with net changes in fair value recognised in the statement of profit or loss.

4.10.3 Derecognition of financial assets

Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or have been transferred and the Company has transferred substantially all the risks and rewards of ownership.

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4.10.4 Financial liabilities

Financial liabilities are initially recognised as financial liability at fair value through profit or loss or at amortised cost using Effective Interest Rate (EIR) method as appropriate. Financial liabilities are initially recognised at fair value net of directly attributable transaction cost in case of loans, borrowings and payables. Financial liabilities at fair value through profit or loss are initially recognised at fair value and transaction costs are expensed in the statement of profit or loss. Financial liabilities, other than those carried at fair value through profit or loss (FVTPL), are subsequently measured at amortised cost using the EIR method.

4.10.5 Derecognition of financial liabilities

Derecognition of financial liabilities occurs from the statement of financial position when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of a financial liability that has been extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in statement of profit or loss as other income or finance costs.

4.11 Off-setting of financial assets and liabilities

Financial asset and financial liability are offset and the net amount is reported in the balance sheet, if the Company has a legally enforceable right to set-off the recognised amounts and intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

4.12 Loss allowance for ECL / impairment

Financial assets

The Company assesses on a forward-looking basis the Expected Credit Loss (ECL) associated with its financial assets carried at amortised cost and FVTOCI. The impairment methodology applied depends on whether there has been a significant increase in credit risk from the date of initial recognition of a financial asset.

For trade receivables, the Company applies 'simplified approach' as permitted by IFRS 9, which requires expected lifetime credit losses to be recognised at initial recognition and throughout the life of the receivables at an amount equal to lifetime ECLs. Loss allowances are recognised in the statement of profit or loss as at reporting date.

Non-financial assets

The carrying amounts of non-financial assets are assessed at each reporting date or whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. If such indication exists, and where the carrying values exceed the estimated recoverable amount, the assets are written down to their recoverable amount. An asset's recoverable amount is the higher of its fair value less cost to sell and value in use. For the purpose of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows. Non-financial assets that suffered an impairment, are reviewed for possible reversal of the impairment as at each reporting date. Reversal of impairment loss are restricted to the extent that asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss has been recognised. An impairment loss, or the reversal of an impairment loss, are both recognised in the statement of profit or loss.

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4.13 Foreign currencies

These financial statements are presented in Pak Rupees, which is the Company's functional currency. All monetary assets and liabilities denominated in foreign currencies are translated into Pak Rupees at the rates of exchange prevailing at the balance sheet date, while the transactions in foreign currency during the year are initially recorded in functional currency at the rates of exchange prevailing at the transaction date. The Company charges all the exchange differences to profit and loss account.

4.14 Provision for doubtful debts

The Company reviews its receivables against any provision required for doubtful balances on an ongoing basis. The provision is made while taking into consideration expected recoveries, if any.

4.15 Borrowings

Borrowings (except for as disclosed in Note 9) are recognized initially at fair value and are subsequently stated at amortized cost. Any difference between the proceeds and the redemption value is recognized in the profit and loss account over the period of the borrowings using the effective interest method.

4.16 Dividend and transfer of reserve

Dividend and transfers among reserves declared after the balance sheet date are treated as post balance sheet non-adjusting events hence do not qualify for provision in the financial statements as per the requirements of 'Accounting and Financial Reporting Standard for Medium Sized Entities'. These transfers are, therefore, recorded in the next year's financial statements in which these are declared.

4.17 Earnings / (loss) per share

Earnings per share are determined according to IAS-33 (Earnings per share) by dividing net income / loss by the weighted average number of shares. Currently, there is no dilutive impact on the Company's earnings per share.



5. PROPERTY AND EQUIPMENT

	June 30, 2024	June 30, 2023
Note	--Rupees--	
5.1	1,610,179	1,831,486

Operating fixed assets

5.1 Operating fixed assets

	Cost			Accumulated depreciation		WDV as at June 30, 2024	Depreciation rate per annum
	Opening Balance	Purchased during the year	As at June 30, 2024	Opening Balance	Charge for the year		
				Rupees			
Office construction	1,311,000	-	1,311,000	43,700	131,100	1,136,200	10%
Furniture & fixture	284,000	-	284,000	9,467	28,400	246,133	10%
Computers & laptops	276,000	-	276,000	27,600	82,800	165,600	30%
Mobile phones	10,800	-	10,800	1,080	3,240	6,480	30%
Office equipment	34,400	39,400	73,800	2,867	15,167	55,766	25%
June 30, 2024	1,916,200	39,400	1,955,600	84,714	260,707	1,610,179	

The statement of operating fixed assets for the last year is as follows:

	Cost			Accumulated depreciation		WDV as at June 30, 2023	Depreciation rate per annum
	Opening Balance	Purchased during the year	As at June 30, 2023	Opening Balance	Charge for the year		
				Rupees			
Office construction	-	1,311,000	1,311,000	-	43,700	1,267,300	10%
Furniture & fixture	-	284,000	284,000	-	9,467	274,533	10%
Computers & laptops	-	276,000	276,000	-	27,600	248,400	30%
Mobile phones	-	10,800	10,800	-	1,080	9,720	30%
Office equipment	-	34,400	34,400	-	2,867	31,533	25%
June 30, 2023	-	1,916,200	1,916,200	-	84,714	1,831,486	

5.2 Depreciation has been charged to operating expenses.

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Stockinvest Securities (Private) Limited

		June 30, 2024	June 30, 2023
		-----Rupees-----	
6. Intangible assets			
PSX membership		<u>2,500,000</u>	<u>2,500,000</u>

This represents trading right entitlement certificate (TREC) of Pakistan Stock Exchange Limited which has indefinite life. The Company acquired TREC to commence its securities brokerage business.

		June 30, 2024	June 30, 2023
		-----Rupees-----	
7. Trade debts	Note		
Brokerage receivable		<u>3,740,358</u>	<u>1,720,428</u>

8. Advance, deposits and prepayments			
Base minimum capital	8.1	5,000,000	5,000,000
Exposure - Future	8.2	12,000,000	3,100,000
Exposure - Ready market	8.2	8,000,000	6,400,000
Deposit with Eclear Services Limited	8.3	4,550,366	1,077,576
E-Clear Receivable(Profit Withheld)		5,097,965	-
Profit on debt		681,042	-
		<u>35,329,373</u>	<u>15,577,576</u>

8.1 This represents the deposit with Pakistan Stock Exchange Limited in accordance with the PSX Rule Book.

8.2 This represents deposit with National Clearing Company of Pakistan Limited against the exposure margin in respect of trade in future and ready market. These deposits carry profit at variable rates.

8.3 This account is maintained with professional clearing member - Eclear Services Limited for making deposits and to undertake proprietary trading in listed securities.

		June 30, 2024	June 30, 2023
		-----Rupees-----	
9. Short term investments			
At fair value through profit or loss	9.1	<u>19,194,010</u>	<u>7,398,875</u>

9.1 Investment in various equity shares carried at market value.

			2024	2023	
			Carrying	Market value	Market value
			-----	-----	-----
			Rupees (000)	Rupees (000)	Rupees (000)
2024	2023	Name of investee			
Number of shares					
67,410	-	Dawood Lawrencepur Limited	69,855	67,410	-
12,721,600	-	Millat Tractors Limited	13,156,400	12,721,600	-
6,405,000	-	Pakistan Stock Exchange Limited	6,715,000	6,405,000	-
-	82,500	Cordoba Logistics & Ventures Limited	-	-	411,675
-	200,000	Dewan Farooque Motors Limited	-	-	2,148,000
-	300,000	Hascol Petroleum Limited	-	-	1,665,000
-	100,000	Metatech Trading Limited	-	-	675,000
-	220,000	Thatta Cement Company Limited	-	-	2,499,200
			<u>19,941,255</u>	<u>19,194,010</u>	<u>7,398,875</u>
		Less:			
		Unrealised loss on re-measurement of investment classified as fair value through other comprehensive income	(747,245)	-	-
			<u>19,194,010</u>	<u>19,194,010</u>	<u>7,398,875</u>

	Note	June 30, 2024	June 30, 2023
		-----Rupees-----	
10. Cash & bank balance			
Cash at bank			
Saving accounts		<u>734,555</u>	<u>179,900</u>
10.1	Profit rate on saving accounts ranges from 7.59% to 18.63% (June 2022: 13.9% to 22.39%) per annum.		
11. Share capital & reserves			
11.1 Authorised share capital			
		June 30, 2024	June 30, 2023
		Number of shares	Number of shares
	Ordinary shares of Rs. 10/- each fully paid in cash	<u>2,500,000</u>	<u>2,500,000</u>
		<u>25,000,000</u>	<u>25,000,000</u>
11.2 Issued, subscribed and paid-up share capital			
		June 30, 2024	June 30, 2023
		Number of shares	Number of shares
	Ordinary shares of Rs. 10/- each fully paid in cash	<u>1,800,000</u>	<u>1,800,000</u>
		<u>18,000,000</u>	<u>18,000,000</u>
11.2	All ordinary shares rank equally with regard to residual assets of the company. The ordinary shareholders are entitled to receive all distribution including dividend and other entitlements in the form of bonus and right shares as and when declared by the Company. Voting rights, board selection, right of first refusal and block voting are in proportion to shareholding. As at reporting date, Muhammad Haris and Ayesha Haris each holds 900,000 shares each in the Company.		
11.3 Pattern of shareholding		Number of shares	Holding percentage
Names			
Muhammad Haris		900,000	50%
Ayesha Haris		900,000	50%
As per regulation 34(2)(e)(f) of the Securities Brokers (Licensing and Operations) Regulations, 2016, below are the names of shareholders having more than 5% of the shares and all changes in shareholding above 5%.			
		June 30, 2023	June 30, 2024
	Name of shareholders	June 30, 2024	June 30, 2023
	----- shares held -----	----- % of holding -----	
	900,000	50%	50%
	900,000	50%	50%
	Muhammad Haris		
	Ayesha Haris		

12. Advance against share capital

This represents the advance given by the director's for future issuance of shares.

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13. Sponsors' loan

This represents loan given by director's / sponsor's for the purpose of operation of the Company. The loan is repayable at Company's descretion and accordingly it has been accounted for as equity.

June 30, June 30,
2024 2023
-----Rupees-----

14. Trade and other payables

Rent payable	132,000	120,000
Maintenance payable	-	45,900
Internet expense payable	21,316	20,676
Electricity bill payable	40,000	21,762
Other liability & accruals	289,253	-
Audit fee payable	185,647	79,800
	<u>668,216</u>	<u>288,138</u>

15. Contingencies & commitments

There are no contingencies and commitments as at 30 June 2024.

For the year From Dec 16,
ended June 2022 to June
30, 2024 30, 2023
-----Rupees-----

Note

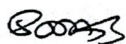
16. Operating

Brokerage commission	<u>37,693,674</u>	<u>3,059,106</u>
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17. Operating expense

Salaries and other allowances	10,036,444	2,195,000
Eclear service charges	4,002,313	169,623
Electricity expense	402,523	85,305
Fees and subscription	46,167	267,979
Information technology and internet expenses	503,640	175,110
Rent expenses	1,524,000	840,000
Repairs and maintenance	525,500	574,006
SECP license fee	50,025	300,050
Donation	17.1 3,075,000	50,000
Auditor's remuneration	17.2 225,000	150,000
PSX charges	960,101	46,569
Traveling and conveyance	1,829,000	-
Printing & stationery	475,966	-
Legal and professional	625,000	169,500
Entertainment	441,191	-
Bank charges	5,712	-
NCCPL and CDC charges	209,610	-
Depreciation	260,707	84,714
Miscellaneous expenses	98,024	146,166
	<u>25,295,922</u>	<u>5,254,022</u>

- 17.1 The company made donations as part of its commitment to corporate social responsibility and community engagement initiatives. The donations were made towards Dhoraji Association.



Stocxinvest Securities (Private) Limited

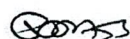
		June 30, 2024	June 30, 2023
		-----Rupees-----	
17.2	Audit fee		
	Audit fee	210,000	79,800
	Out-of-pocket expenses	15,000	-
	Other certification	-	70,200
		<u>225,000</u>	<u>150,000</u>
18.	OTHER INCOME		
	Extra commission income	1,129	-
	Dividend income	375,000	-
	Profit against exposure and prop balance	3,271,408	-
		<u>3,647,537</u>	<u>-</u>
19.	LEVY AND TAXATION		
	Levy	547,131	64,731
	Prior year expense	38,660	-
	Taxation	4,064,067	-
		<u>4,649,858</u>	<u>64,731</u>
19.1	This represents final taxes paid under section 153 and section 154 of Income Tax Ordinance, 2001, representing levy in terms of requirements of IFRIC 21 / IAS 37.		
20.	EARNING PER SHARE- BASIC AND DILUTED		
	Profit / (loss) for the year (Rs.)	29,250,890	(1,161,615)
	Weighted average number of ordinary shares	1,800,000	1,800,000
	Earning / (loss) per share basic (Rs.)	16.25	(0.65)

20.1 There is no dilutive impact on the basic earning per share as the Company has no potential convertible ordinary shares in issue as at the end of the reporting period.

21. FINANCIAL INSTRUMENT AND RELATED DISCLOSURES

21.1 Financial instrument by category

	June, 30 2024			
Financial assets	At fair value through profit or loss	At fair value through other comprehensive income	At amortized cost	Total
Long term deposits	-	-	-	-
Investment at (FVTOCI)	-	-	-	-
Investment at (FVTP&L)	19,194,010	-	-	19,194,010
Trade debts	-	-	3,740,358	3,740,358
Advances and deposits	-	-	25,000,000	25,000,000
Bank balances	-	-	734,555	734,555
	<u>19,194,010</u>	<u>-</u>	<u>29,474,913</u>	<u>48,668,923</u>



21.2 Financial instrument by category

Financial assets	June, 30 2023			
	At fair value through profit or loss	At fair value through other comprehensive income	At amortized cost	Total
Long term deposits	-	-	-	-
Investment at (FVTOCI)	-	-	-	-
Investment at (FVTP&L)	7,398,875	-	-	7,398,875
Trade debts	-	-	1,720,428	1,720,428
Advances and deposits	-	-	14,500,000	14,500,000
Bank balances	-	-	179,900	179,900
	7,398,875	-	16,400,329	23,799,203

21.3 Financial risk management

The Company primarily invests in marketable securities and are subject to varying degrees of risk.

The Board of Directors of the Company has overall responsibility for the establishment and oversight of the Company's risk management framework. The Company has exposure to the following risks from its use of financial instruments:

- Credit risk
- Liquidity risk
- Market risk
- Operational risk

21.3.1 Credit risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss, without taking in to account the fair value of any collateral. Credit risk arises from the inability of the issuers of the instruments, the relevant financial institutions or counter parties in case of placements or other arrangements to fulfil their obligations.

21.3.2 Exposure to credit risk

Credit risk of the Company arises principally from the trade debts, short term investments, loans and advances, deposits and other receivables. The carrying amount of financial assets represents the maximum credit exposure. The Company allow to trade in future contracts after taking 100% margins.

Credit risk is minimised due to the fact that the Company invest only in high quality financial assets, all transactions are settled / paid for upon delivery. The Company does not expect to incur material credit losses on its financial assets. The maximum exposure to credit risk at the reporting date is as follows:

	Note	June 30, 2024	June 30, 2023
		-----Rupees-----	
Short term investment	9	19,194,010	7,398,875
Advances, deposits, prepayments and other receivable	8	35,329,373	15,577,576
Trade debts	7	3,740,358	1,720,428
Bank balances	10	734,555	179,900

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21.3.3 Bank balances

The analysis below summarizes the credit quality of the Company's bank balance:

Name of banks	Rating agency	Rating - long term	June, 30 2024	
			Rupees	%
Meezan Bank Limited	PACRA	AAA	734,555	100.00%
			734,555	100.00%
Name of banks	Rating agency	Rating - long term	June, 30 2023	
			Rupees	%
Meezan Bank Limited	PACRA	AAA	179,900	100.00%
			179,900	100.00%

21.3.4 Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting its financial obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. Liquidity risk arises because of the possibility that the Company could be required to pay its liabilities earlier than expected or difficulty in raising funds to meet commitments associated with financial liabilities as they fall due. prudent liquidity risk management implies maintaining sufficient cash and marketable securities, the availability of funding to an adequate amount of committed credit facilities and the ability to close out market positions due to dynamic nature of business.

June 30, 2024				
carrying amount	up to one year	one to two years	two to five years	
----- (Rupees) -----				
Financial liabilities				
Trade and other payables	668,216	-	-	-
	668,216	-	-	-
June 30, 2023				
carrying amount	up to one year	one to two years	two to five years	
----- (Rupees) -----				
Financial liabilities				
Trade and other payables	288,138	-	-	-
	288,138	-	-	-

On the balance sheet date, the Company has cash and bank balances of Rs. 0.73 million (2023: 0.18 million) and short term investments of Rs: 19.19 million (2023: 7.40 million) for repayment of liabilities.

21.3.5 Market risk

Market risk is the risk that the value of the financial instrument may fluctuate as a result of changes in market interest rates or the market price due to change in credit rating of the issuer or the instrument, management manages market risk by monitoring exposure on marketable securities by following the internal risk management and investment policies and guidelines.

Market risk comprises of three types of risk: currency risk, interest rate risk and other price risk.

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21.3.5.1 Currency risk

Foreign currency risk arises mainly where receivables and payables exist due to transactions in foreign currencies. Currently there is no currency risk as all financial assets and liabilities are in PKR.

21.3.5.2 Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market risk. At the reporting date the interest rate profile of the Company's interest bearing financial instruments is as follows:

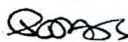
As at June 30, 2024						
Effective interest / markup rate	Interest / mark-up bearing			Non-interest / mark-up bearing		
	Maturity	Maturity	Sub-total	Maturity	Maturity	Sub-total
	upto one year	after one year		upto one year	after one year	
%	Rupees					
Financial assets						
Trade debts	-	-	-	-	-	-
Advance and other receivables	-	-	-	35,329,373	-	35,329,373
Bank balances	12.2- 20.9	734,555	-	734,555	-	-
		734,555	-	734,555	35,329,373	-
						35,329,373
Financial liabilities						
Trade and other payable	-	-	-	668,216	-	668,216
	-	-	-	668,216	-	668,216
As at June 30, 2023						
Effective interest / markup rate	Interest / mark-up bearing			Non-interest / mark-up bearing		
	Maturity	Maturity	Sub-total	Maturity	Maturity	Sub-total
	upto one year	after one year		upto one year	after one year	
%	Rupees					
Financial assets						
Trade debts	-	-	-	-	-	-
Advance and other receivables	-	-	-	15,577,576	-	15,577,576
Bank balances	13.9 - 22.39	179,900	-	179,900	-	-
		179,900	-	179,900	15,577,576	-
						15,577,576
Financial liabilities						
Trade and other payable	-	-	-	288,138	-	288,138
	-	-	-	288,138	-	288,138

21.3.5.3 Other price risk

Other price risk is the risk that fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices(other than those arising from interest rate risk or currency risk) whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factor affecting all or similar financial instrument traded in the market.

The Company's listed securities are susceptible to market price risk arising from uncertainties about the future value of investment securities. The Company manages the equity price through diversification and all instruments are made through surplus funds.

The Company is exposed to other price risk on investment in listed shares. The Company manages the risk through portfolio diversification.



The 10% increase / (decrease) in market value of these instruments with all other variables held constant impact on profit and loss account of the Company is as follows:

	Before tax	
	10% increase	10% decrease
As at June 30 2024	<u>1,919,401</u>	<u>(1,919,401)</u>
As at June 30 2023	<u>739,887.50</u>	<u>(739,888)</u>

The selected hypothetical change does not reflect what could be considered to be the best or worst case scenarios.

21.3.6 Operational risk

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the processes, technology and infrastructure supporting the Company's operations either internally within the Company or externally at the Company's service providers, and from external factors other than credit, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of investment management behavior. Operational risks arise from all of the Company's activities.

The Company's objective is to manage operational risk so as to balance limiting of financial losses and damage to its reputation with achieving its objective of generating returns for stakeholders.

Senior management ensures that the Company's staff have adequate training and experience and fosters effective communication related to operational risk management.

21.4 Fair value of financial instruments

The carrying values of all financial assets and liabilities reflected in these financial statements approximate to their fair value. .

The Company at year end hold listed assets amounting to Rs 19.19 million (2023: 7.3 million) that are recorded at quoted price.

21.5 Capital risk management

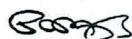
The primary objective of the Company's capital management Is to maintain healthy capital ratios and optimal capital structure In order to ensure ample availability of finance for its existing operations, for maximizing shareholder's value, for tapping potential investment opportunities and to reduce cost of capital.

The Company manages its capital structure and makes adjustment to it, in light of changes in economic conditions. Furthermore, the Company finances its operations through equity, borrowing and management of its working capital with a view to maintain an appropriate mix between various sources of finance to minimise risk.

Net capital requirements of the Company are set and regulated by Pakistan Stock Exchange. These requirements are put in place to ensure sufficient solvency margins and are based on excess of current assets over current liabilities. The Company manages Its net capital requirements by assessing its capital structure against required capital level on a regular basis.

22. BASE MINIMUM CAPITAL

In compliance with the Regulation 19.2 of the Rule Book of Pakistan Stock Exchange Limited, every Trading Right Entitlement Certificate (TREC) holder registered as a broker under Brokers and Agents Registration Rules, 2001, Is required to maintain a Base Minimum Capital (BMC) in the amount and form as prescribed in the Rule on the basis of Assets Under Custody (AUC). As per the said regulation, as at June 30, 2024, the Company is required to maintain BMC of Rs. 15 million.



The Company has pledged shares of Pakistan Stock Exchange for taking exposures in regular and future market against Base Minimum Capital (BMC) requirement.

While determining the value of total assets of TREC holder, the Notional value of the TREC held by Stockinvest Securities (Private) Limited as at year ended June 30, 2024 determined by Pakistan Stock Exchange has been considered.

	June 30, 2024	June 30, 2023
	-----Rupees-----	
23. CAPITAL ADEQUACY LEVEL		
Total assets	63,108,475	29,208,266
Less: Total liabilities	(5,083,931)	(434,611)
Revaluation reserves	-	-
Capital adequacy level	<u>58,024,544</u>	<u>28,773,655</u>

24. NUMBER OF EMPLOYEES

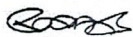
The total number of employees at year end were 5 (2023: 5) and the average number of employees was 5 (2023: 5).

25. GENERAL

Figures have been rounded off to the nearest of rupee.

26. DATE OF AUTHORIZATION FOR ISSUE

These financial statements were authorized for issue on 10 7 OCT 2024 by the Board of Directors of the Company.




Chief Executive Officer


Director